

DBS GROUP HOLDINGS LTD AND ITS SUBSIDIARIES

Institutional Banking

Institutional Banking provides financial services and products to institutional clients, including bank and non-bank financial institutions, government-linked companies, large corporates and small and medium-sized businesses. Products and services comprise the full range of credit facilities from short-term working capital financing to specialised lending. It also provides global transactional services such as cash management, trade finance and securities and fiduciary services; treasury and markets products; corporate finance and advisory banking as well as capital markets solutions.

Compared to a year ago, first-half profit before tax declined 4% to \$2.98 billion. Total income was 1% higher at \$4.54 billion. Net interest income declined 3% to \$3.05 billion due to a lower net interest margin, partially offset by volume growth. Non-interest income grew 11% to \$1.49 billion from higher treasury customer income, cash management fees, and investment banking fees. Expenses were 1% higher at \$1.44 billion. Total allowances rose to \$124 million from a low base of \$2 million a year ago.

Compared to the previous half year, profit before tax grew 13%. Total income rose 3% as non-interest income growth more than offset lower net interest income. Expenses were 6% lower. Total allowances fell 48% from the prior period, which had higher specific allowances largely due to the prudent downgrade of a previously watchlisted real estate exposure to NPL.

Markets Trading

The Markets Trading segment reflects the structuring, market-making and trading activities carried out by Global

Financial Markets (GFM) across a range of treasury asset classes. GFM is also involved in the sale of treasury products, investment banking services and digital asset activities. Such customer income is reflected in Consumer Banking/ Wealth Management and Institutional Banking, rather than in the Markets Trading segment.

First-half profit before tax rose 14% from a year ago to \$448 million. Total income increased 10% to \$858 million led by higher income from equity derivatives, partially offset by interest rate activities. Expenses rose 6% to \$413 million due to higher business-related expenses and staff costs.

Compared to the previous half year, total income rose 45%. Expenses fell 2% due to lower staff costs.

Income from treasury customer activities which has been fully incorporated into Consumer Banking/ Wealth Management and Institutional Banking income, rose 27% from a year ago to \$1.70 billion mainly due to higher income from sales of equity derivatives and foreign exchange products. Compared to the previous half year, income from treasury customer activities rose 14% mainly from equity derivatives products and foreign exchange products.

Others

The Others segment encompasses the results of corporate decisions that are not attributed to business segments. It includes earnings on capital deployed into high quality assets, earnings from non-core asset sales and certain other head office items such as centrally raised allowances.